agreement on patrolling the disputed Line of Actual Control on the eastern border, the Indian military's long-festering challenge of funds to buy modern defence armaments came back into public focus. While the Indian Air Force's new Rafale jets from France became the showpiece of the government's publicity on defence, underneath the chest-thumping lay the deeper problem of ensuring enough funds for other modern military equipment and ammunition.

The China crisis broke at a time when the urgency of reform and positive winds of change in the newly revamped Ministry of Defence—with India's first-ever chief of defence staff (CDS) and a new Department of Military Affairs—were just about beginning to be felt.[131] Yet, this very reform cloaked the single most fundamental challenge that faced India's military. India may be the fourth largest defence spender in the world, with the defence budget getting the highest allocation of all ministries. Yet, in 2020, for the first time, the standing army was slated to be spending more on pensions (38.1 per cent) than on salaries for its serving soldiers and civilian employees (37.5 per cent) or what it would spend on modernisation (8.8 per cent). Just a few months before the China-border crisis became public, the defence ministry, a PRS analysis showed, was slated to spend almost as much on pensions (28.4 per cent) in the year as it would on salaries (30.2 per cent). This left less than half of India's allocated defence spending for other tasks. The current system was clearly unsustainable, and a radical change of the kind that the CDS started talking about was a necessity. While the Modi government increased funding for defence each year, the fact remained that, as a percentage of GDP, defence spending was at its lowest point since 1962.

Those who have studied economic reforms know that seldom has India undertaken paradigmatic shifts at the level of governmental systems unless pushed by a deep crisis that renders the current systems untenable. So it has been with Defence. At a time when the fiscal deficit is ballooning and government expenditures are stretched, there is simply no money for expansion unless it can be found through a major internal reboot of the way India has traditionally organised its soldiering.